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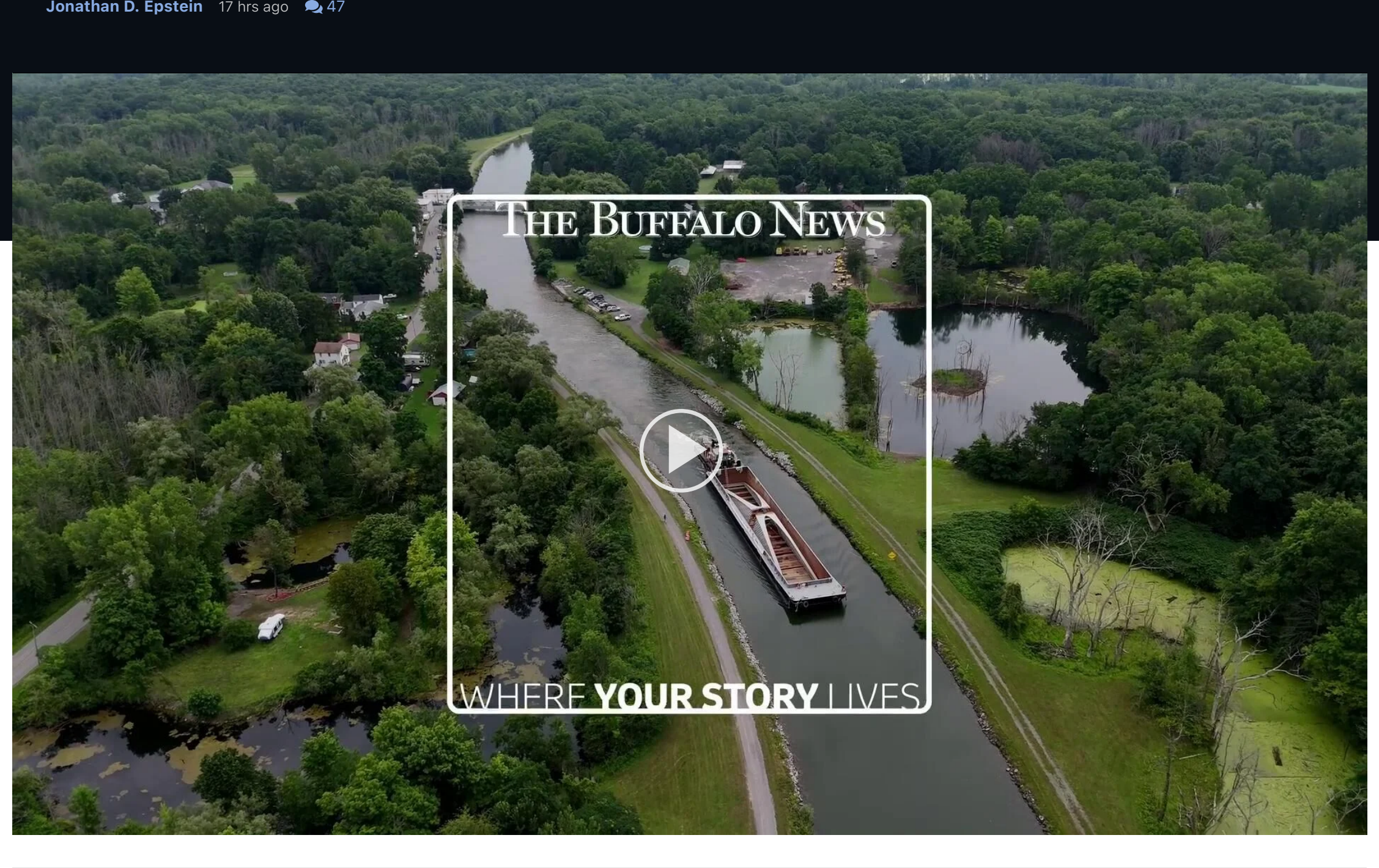
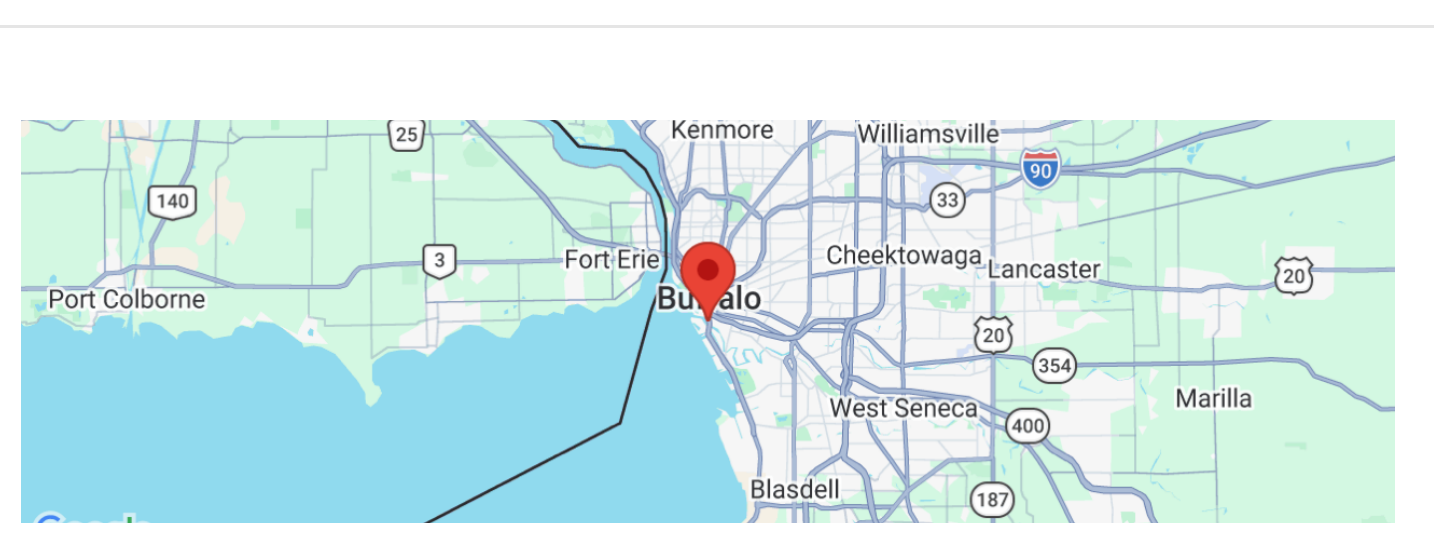
Langworthy calls for federal probe into selection, funding of North Aud Block project

Jonathan D. Epstein 17 hrs ago 47





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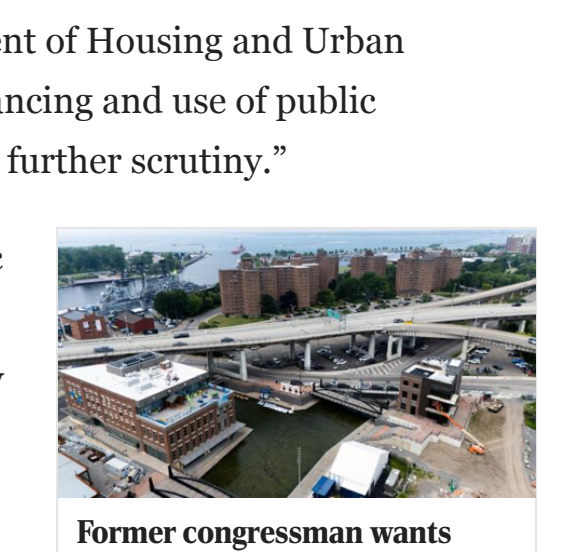
The controversy over the planned affordable housing project at the North Aud Block of Canalside expanded on Tuesday, with U.S. Rep. Nick Langworthy asking a federal agency to investigate how the developer was selected and how federal affordable housing funds are being used for the development.

Langworthy, a Republican and longtime critic of Gov. Kathy Hochul, called for a probe by the inspector general of the U.S. Department of Housing and Urban Development to determine if the "procurement, financing and use of public subsidies" for the North Aud Block project "warrant further scrutiny."

Langworthy, in a statement, criticized the "dramatic increase in public financial assistance" being provided by the state for the $225 million project by Philadelphia-based Pennrose LLC since it was first awarded to the developer in 2023, following a competitive request for proposals issued in May 2022.



Former congressman wants state to start over with proposals for former Aud site

Should New York rebid the proposed North Aud Block redevelopment? Former Rep. Chris Jacobs says the obvious answer is yes. The state disagrees.

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In a letter to the housing agency, Langworthy questioned if such a big change could "undermine the integrity of a competitive procurement," suggesting that other developers might have responded differently had they known such funds would be available.

Besides Pennrose, only two other firms submitted proposals, including Douglas Jemal's Douglas Development Corp. and Brooklyn-based BFC Partners.

"I am concerned that the project has changed materially since it was competitively solicited and that its extraordinarily high public cost may undermine the purpose of federal affordable housing resources," wrote Langworthy.

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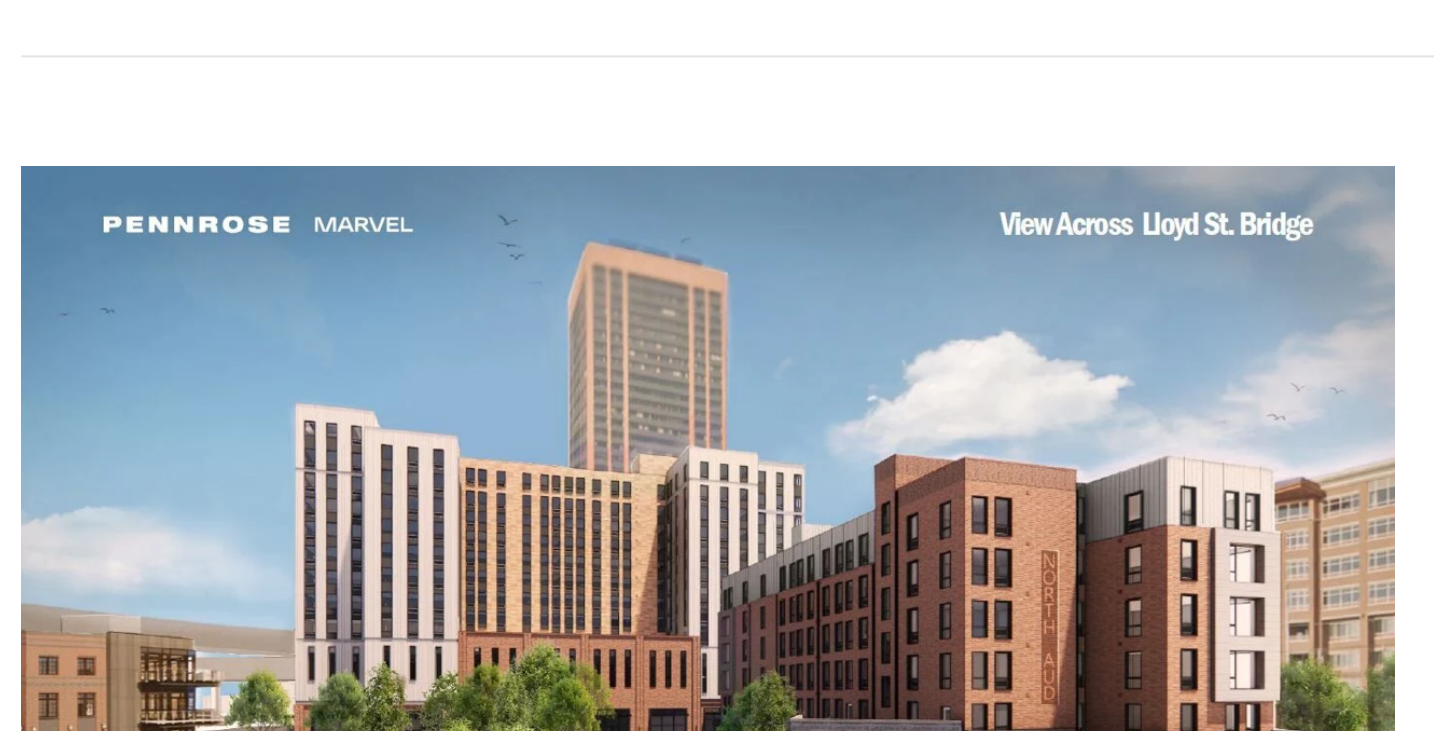

A rendering of the Pennrose North Aud Block housing development. Rents will range from a low of $757 per month for a one-bedroom unit to as much as $2,950 for a three-bedroom, market-rate apartment.

Buffalo Planning Board

Langworthy doesn't represent downtown Buffalo or Canalside but serves on the House Committee on Oversight and Government Reform. Jessica Proud, a senior adviser to the congressman, said that gives him jurisdiction over HUD "on a project that affects the region, not just the footprint of the site."

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Langworthy's comments echoed previous criticism from downtown developer and former Republican U.S. Rep. Chris Jacobs and other critics, who have called for Empire State Development Corp. and its waterfront subsidiary, the Erie Canal Harbor Development Corp., to rebid the mixed-income project.

Their concern, and Langworthy's, focuses on the changes to the project since it was first proposed, and the amount of taxpayer money being used to support it – equal to more than $609,000 per apartment, on a project costing $896,000 per unit to build.

"I think the congressman raises valid and serious points in his letter," Jacobs said. "The federal government does not want to be party to a state agency that may have violated bidding/procurement law. Further, the expenditure of nearly $1 million per apartment on this development is wasting limited federal affordable housing monies."

Pennrose is constructing three new buildings with 251 apartments on a portion of the former Memorial Auditorium site, which represents the last major parcel at Canalside. But critics say the final plan is not what was promised to the community.

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The 340,945-square-foot project now calls for a 12-story building with 199 apartments and retail space, a six-story building with 52 apartments and three retail spaces and a smaller retail-only building. All would be on a 1.85-acre site at 130 Main St., along with 142 parking spaces.

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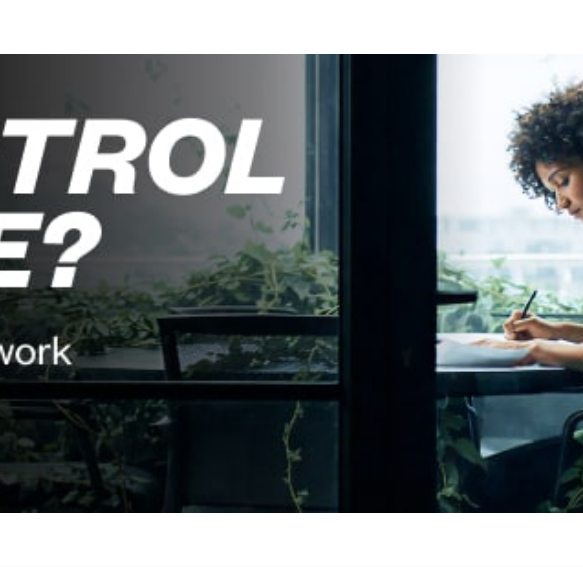
One-quarter of the units, or 64 apartments, will be priced at market rents, while another quarter will be workforce housing targeted at households earning up to 80% of the area median income. The other half will be equally divided between units priced at no more than 60% and no more than 40% of the area median income.



A closer look at the North Aud Block apartment project

It's taken more than a decade to find a developer willing to bring housing to the North Aud Block, the site created by the demolition of Memor...

But that comes with significant government subsidies to finance the project that weren't identified until recently. The original request for proposals cited only $10 million in public funding that would be made available for specific infrastructure and capital improvements.

The project relies heavily on $30 million in federal low-income housing tax credits and $80 million in discretionary grants, as well as a 30-year payment-in-lieu-of-taxes agreement on the property that is likely worth tens of millions of dollars in additional savings. Including state and other sources, total government support amounts to $152.9 million, not including the property tax break.

"Taxpayers deserve confidence that competitive procurements involving federally supported projects are legitimate, that public subsidies are awarded transparently, and that scarce affordable housing resources are being used to create as much housing as reasonably possible," Langworthy wrote in his letter.

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Hochul and other state officials have repeatedly defended the project and the need for the subsidies, noting that the vacant site has languished as an undeveloped hole in the ground for years, in the midst of the Canalside tourism destination and efforts to bolster downtown Buffalo, with no one stepping up.

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"For three decades, the North Aud Block has generated nothing but blight and zero tax revenue," said Laura Magee, spokeswoman for Empire State Development. "The project now underway will transform a long vacant property into a mixed income community, creating desperately needed affordable housing, supporting jobs and tourism and bringing revenue to the City. After 30 years of neglect, North Aud Block deserves progress."

But Langworthy, without referring to the governor or anyone else, rejected that, saying that "federal resources are finite, and government has an obligation to ensure that they are used efficiently."

"When an unusually expensive project consumes substantial federal tax credits and other public subsidies, fewer resources may be available to create affordable housing elsewhere," he wrote. "Federal affordable housing programs should serve families in need – not be used to subsidize unnecessarily expensive development simply because a project occupies a prominent or high-profile location."

In his letter, Langworthy asked the Office of the Inspector General to review:

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- Whether HUD money, programs or other federal resources are involved, and whether all requirements have been satisfied.
- Whether the jump in public subsidies "raises concerns regarding procurement integrity, internal controls, waste, fraud or abuse."
- Whether the development cost and public subsidy per unit represent an efficient use of federal dollars.
- Whether anything should be referred to the Internal Revenue Service, Treasury Inspector General for Tax Administration or other federal agency for further consideration.

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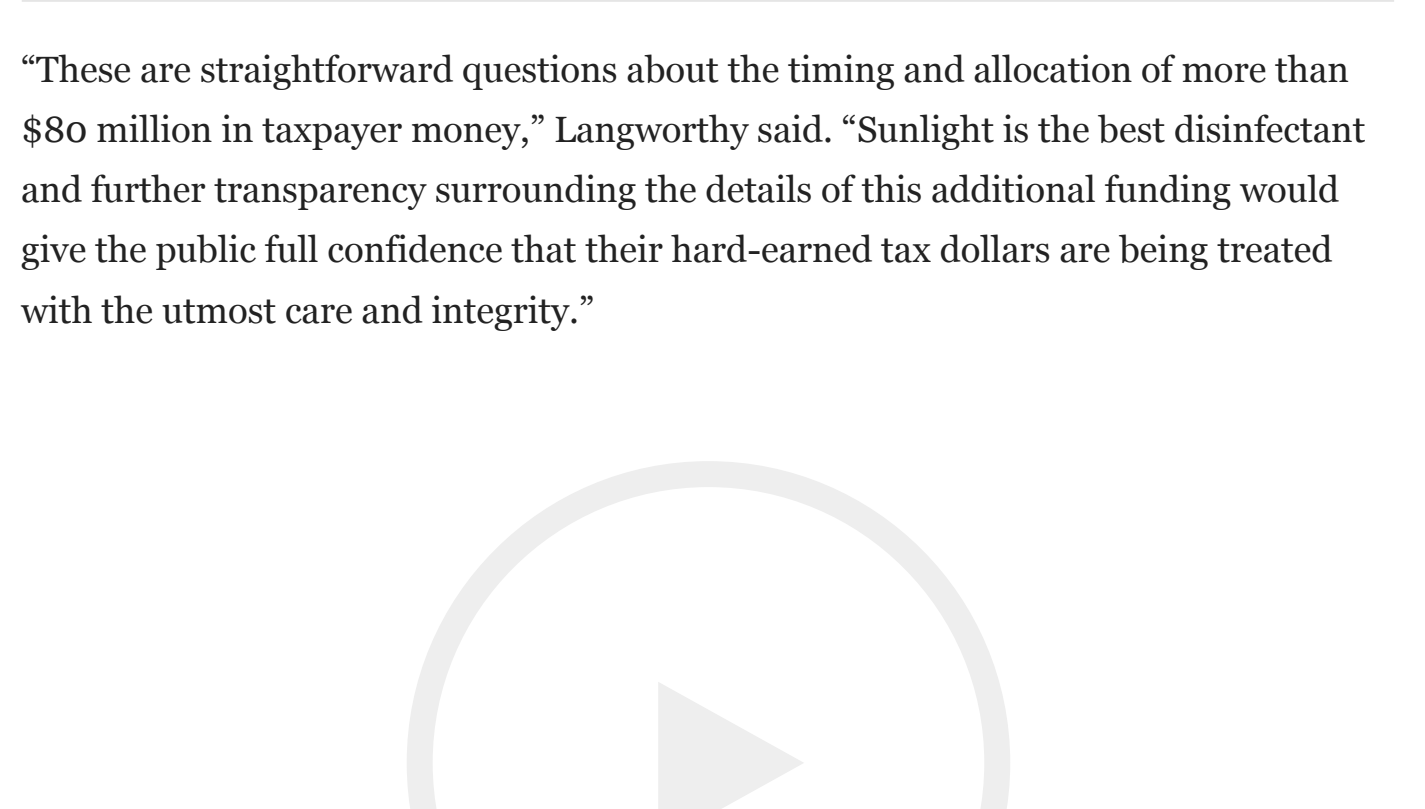

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Jonathan Epstein has been business reporter at The Buffalo News since 2004. He currently covers residential and commercial real estate and dev...

"These are straightforward questions about the timing and allocation of more than $80 million in taxpayer money," Langworthy said. "Sunlight is the best disinfectant and further transparency surrounding the details of this additional funding would give the public full confidence that their hard-earned tax dollars are being treated with the utmost care and integrity."

Reach Jonathan D. Epstein at (716) 849-4478 or jepstein@buffnews.com.

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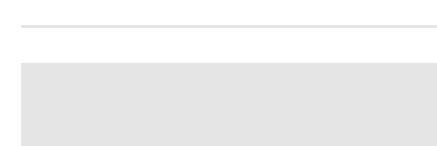

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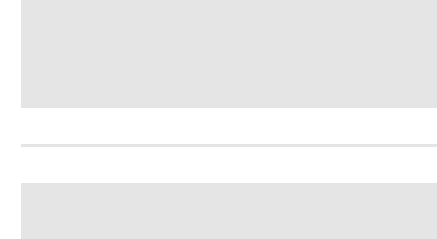
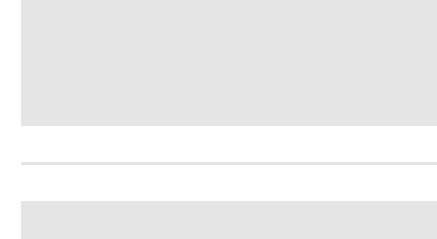
Hochul defends Empire State Development's 30-year tax break for North Aud developer

Hochul acknowledged criticism about the tax break arrangement granted to Pennrose by Empire State Development. But she said it was necessary t...



The North Aud Block housing project is getting a 30-year tax break. Some officials aren't happy

Empire State Development is under fire for granting a 30-year property tax break to North Aud developer Pennrose.



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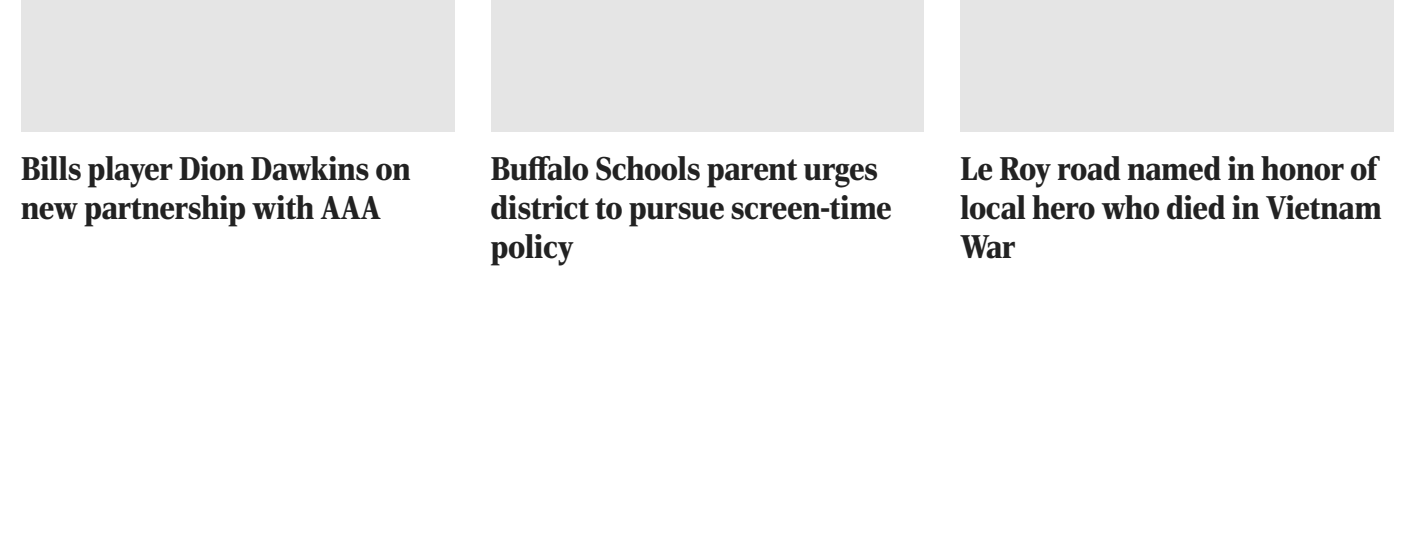

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